Loan Approval Policy

Kitara Bank, Credit Risk. This policy sets who may approve a loan and on what conditions.

1. Approval authority

- Loan Officer: up to UGX 10,000,000
- Branch Manager: up to UGX 50,000,000
- Regional Credit Committee: up to UGX 250,000,000
- Head Office Credit Committee: above UGX 250,000,000 and up to UGX 1,000,000,000. It meets on the second Tuesday of every month.
- Board Credit Committee: above UGX 1,000,000,000

No officer approves a loan to a relative, a business partner or a company in which they hold shares.

2. Lending conditions

- The monthly repayment may not exceed 40 percent of the borrower's net monthly income.
- A secured loan needs collateral worth at least 125 percent of the loan amount, valued by an approved valuer.
- The maximum tenor for an SME loan is 60 months. The maximum tenor for a school fees loan is 12 months.
- The borrower must have held an account with Kitara for at least six months, except for a school fees loan to a salaried customer whose employer pays into Kitara.

3. Credit checks

Every application is checked against the credit reference bureau. A borrower with a loan more than 30 days overdue elsewhere is declined unless the Head of Credit approves an exception in writing.

4. Documents

The file holds the signed application, identification verified under the KYC Procedure, three months of statements, the valuation report and the credit memo.